

Corridor, Not Factory: Trade Reorientation and the Missing Investment Response in Kazakhstan, 2022–2025

Zhanbolat Kakishev

Nazarbayev University, Astana, Kazakhstan

`zhanbolat.kakishev@nu.edu.kz`

Corresponding author: Zhanbolat Kakishev, Nazarbayev University, 53 Kabanbay
Batyra Avenue, Astana 010000, Kazakhstan; `zhanbolat.kakishev@nu.edu.kz`.

Abstract

A large, sector-specific rise in demand for a tradeable good is expected to induce domestic investment. After February 2022, with Russia's direct trade with its main partners disrupted, part of it was reallocated through neighbouring economies, Kazakhstan among them. Using product-level trade data (HS6, 2018–2025) we measure the demand shock, estimate what Kazakhstan retains, and ask whether it induced investment. In 29 product lines, exports to Russia rise discontinuously in May 2022, roughly tenfold; an externally compiled product list, not selected on Kazakh outcomes, shows the same break. Propagating a wholesale-and-freight margin (6–14%, a band we choose rather than estimate) through the input–output table implies domestic value added of 5–11 cents per rerouted dollar, against about three-quarters for a produced dollar. Across three commercial deal databases we find no investment response in the reoriented lines, though four post-2022 years rule out only a large one. We read the null through three gates: market access, irreversibility and capital-market institutions. The case identifies an open market-access gate, created by a customs union that makes trade a close substitute for production, and rules out capital-market institutions as the binding constraint; whether irreversibility independently binds cannot be settled here. Kazakhstan operates as a corridor, not a factory.

Keywords: trade reorientation; demand shocks; investment under uncertainty; irreversibility; industrial policy; value added; institutional voids; transit economies; Kazakhstan.

JEL classification: F14; F15; E22; D25; O14; O24; O33; P33.

Acknowledgements. I thank my PhD supervisor, Professor Jiyang Dong, for guidance and support. All errors are my own.

Declaration of competing interest. The author is employed by the Astana International Financial Centre (AIFC), which operates the Astana International Exchange and is institutionally adjacent to Kazakhstan’s state investment vehicles, and previously worked with a consulting team on a Kazakhstan trade-strategy engagement. The state-fund investment figures used in the paper are drawn from a report co-published by the AIFC with the Qazaqstan Investment Corporation (QIC) and the International Finance Corporation (IFC). Neither role enters the empirical analysis, which rests on public data and on commercial deal databases available under academic licence; the policy recommendations in the paper are the author’s own and do not represent the AIFC, QIC or the IFC.

Funding. This research received no specific grant from any funding agency in the public, commercial, or not-for-profit sectors.

Data availability. The trade analysis uses public data: UN Comtrade, World Bank World Development Indicators, the OECD Inter-Country Input–Output tables (2023 edition), and the Kazakhstan Bureau of National Statistics symmetric input–output and resources tables. The deal-level data are licensed from Capital IQ, PitchBook and Preqin and cannot be redistributed, but the full query specification and the native source deal identifiers are in the replication package, so the extract is reconstructible by a licence holder. State-fund investment aggregates are from the published QIC/AIFC/IFC report.

Declaration of generative AI in the writing process. During the preparation of this work the author used Claude (Anthropic) to draft and edit prose, to help write and debug the analysis code, and for structured internal review of the manuscript. All data choices, analytical decisions, results and interpretations are the author’s own; the author reviewed and edited all output and takes full responsibility for the content of the publication.

CRedit authorship contribution statement. **Zhanbolat Kakishev:** Conceptualization, Methodology, Software, Formal analysis, Data curation, Writing – original draft, Writing – review & editing, Visualization.

*Manuscript prepared for single-anonymized review; the author is identified in the manuscript.
Approx. 11,000 words plus references and a for-online-publication appendix.*